

CLASS 10 · ICSE · SELINA CONCISE MATHEMATICS · PYQ SOLUTIONS

Chapter 2: Banking (Recurring Deposit Accounts)

Step-by-step solutions to the previous year questions

The question numbers match the PYQ question sheet.

1 Interest and maturity value

1. A man deposits ₹500 every month for 18 months in a recurring deposit account and earns ₹570 as interest. Which expression gives the maturity amount? (a) ₹(500 × 18 + 570) (b) ₹(500 × 19 + 570) (c) ₹(500 × 18 × 19 + 570) (d) ₹(500 × 9 × 19 + 570) **ICSE 2025, 1 mark**

SOLUTION

Maturity amount = total money deposited + interest.

Total deposited = 500 × 18.

Answer: (a)

2. A boy deposits ₹800 every month for 6 months in a recurring deposit account and receives ₹4884 on maturity. How much interest does he earn? (a) ₹84 (b) ₹42 (c) ₹24 (d) ₹284

ICSE 2023, 1 mark

SOLUTION

Total deposited = 800 × 6 = 4800

Interest = 4884 – 4800 = 84

Answer: (a)

2 Finding the rate of interest

3. A woman deposits ₹250 a month in a recurring deposit account for 3 years and receives ₹10,110 on maturity. Find (a) the rate of interest (b) how much more interest she would earn by depositing ₹50 more each month, at the same rate and for the same time. **ICSE 2025, 4 marks**

SOLUTION

(a) $P = 250, n = 36$. Total deposited = $250 \times 36 = 9000$, so the interest is $10110 - 9000 = 1110$.

$$I = P \times \frac{n(n+1)}{2 \times 12} \times \frac{r}{100}; 1110 = 250 \times \frac{36 \times 37}{24} \times \frac{r}{100} = 138.75 r$$

$$r = \frac{1110}{138.75} = 8. \text{ The rate is 8\% per annum.}$$

(b) The extra ₹50 a month earns $50 \times \frac{36 \times 37}{24} \times \frac{8}{100} = 50 \times 55.5 \times 0.08 = 222$.

Answer: (a) 8% per annum (b) ₹222 more

4. A man deposits ₹1000 every month in a recurring deposit account for 2 years and receives ₹26,000 on maturity. Find (a) the total interest he earns (b) the rate of interest. **ICSE 2023, 4 marks**

SOLUTION

(a) Total deposited = $1000 \times 24 = 24000$, so the interest is $26000 - 24000 = 2000$.

$$(b) I = P \times \frac{n(n+1)}{2 \times 12} \times \frac{r}{100}: 2000 = 1000 \times \frac{24 \times 25}{24} \times \frac{r}{100} = 250r$$

$$r = 8$$

Answer: (a) ₹2000 (b) 8% per annum

5. A man deposits ₹750 a month in a recurring deposit account for 2 years and receives ₹19,125 on maturity. Find the rate of interest. **ICSE 2020, 3 marks**

SOLUTION

Total deposited = $750 \times 24 = 18000$, so the interest is $19125 - 18000 = 1125$.

$$1125 = 750 \times \frac{24 \times 25}{2 \times 12} \times \frac{r}{100} = 187.5r$$

$$r = 6$$

Answer: 6% per annum

3 Finding the time

6. A man deposits ₹2000 a month in a recurring deposit account that pays 8% per annum. He receives ₹1040 as interest on maturity. For how many years was the account held?

ICSE 2024, 3 marks

SOLUTION

$$I = P \times \frac{n(n+1)}{2 \times 12} \times \frac{r}{100}: 1040 = 2000 \times \frac{n(n+1)}{24} \times \frac{8}{100}$$

$$1040 = \frac{20}{3} n(n+1), \text{ so } n(n+1) = 156 = 12 \times 13$$

$$n = 12 \text{ months}$$

Answer: 1 year

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